

Freedom over Sweet Home Alabama

Gen Z is rethinking home ownership, driven less by aspiration and more by arithmetic, mobility, and a deep aversion to being financially locked in for years

BY KARAN DHAR

GEN Z HOMEBUYERS are hard to find, not because they can't afford a house, but because homes that match their lifestyle are increasingly out of their reach, especially in top metros, the BT-PRICE Gen Z Consumption Behaviour Survey shows.

Harshit Arora, the 24-year-old founder and Chief Executive Officer (CEO) of a bootstrapped marketing startup, earns enough to buy a home in Noida, but has no such plans. "Even if I am earning ₹5 lakh every month, it still doesn't make sense for me to buy property because the lifestyle that I am chasing, the people that I want to network with are sitting in ultra-luxury homes, and I can't afford to shell out ₹5-6 crore on a property loan. It makes more sense to rent than buy," he says.

Even though his parents urged him to buy an apartment of his own, Arora says he is against the idea purely because prices in recent years have increased more than they did in the past few decades. "Most people end up taking loans that they can't afford. I don't have any loans in my name. But if I buy a property, I am locked in for 20 years. What if I don't want to live in Noida anymore?"

MOVING TO BIG CITY

As migration to major metros increases, more Gen Z individuals from smaller towns are moving to Tier I cities. Without the option of living in their parents' homes, most end up renting, unlike earlier generations, who often stayed in the same homes they grew up in. The rethink about homeownership among Gen Z is also driven less by

aspiration and more by arithmetic, mobility, and a deep aversion to being financially locked in for years.

Danish Pandita, a 28-year-old software developer who works with the German multinational athletic apparel and footwear corporation adidas, did the math to buy a "decent, bare-minimum" home in Gurugram. Low rental yields and a loan that could stretch decades

179

NO FANCY FOR OWNERSHIP

▶ While parents still urge Gen Zs to buy homes, most are against the idea

▶ Gen Zs are avoiding owning properties as prices in recent years have risen more than in the past few decades

▶ As migration to major metros increases, more Gen Z individuals from smaller towns are moving to Tier I cities

▶ Without the option of living in their parents' homes, most end up renting, unlike earlier generations, who often stayed in the homes where they grew up

▶ Data survey shows that only 8% respondents earning more than ₹15 lakh are interested in buying a house

▶ About 16% of those earning between ₹5 lakh and ₹10 lakh want to buy a house